

Test Yourself

Microeconomics

Consumer Surplus

Section A

Duration of each question is **40 mins**

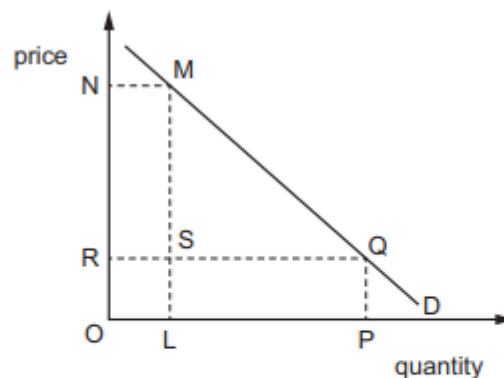
1. When the price of a product changes, it usually changes the consumer surplus in the market.

Assess how variations in price elasticity of demand for a product determine the extent of changes in consumer surplus in a market. (12) **q2b/23/M/J/23**

Section B

Duration 30 mins

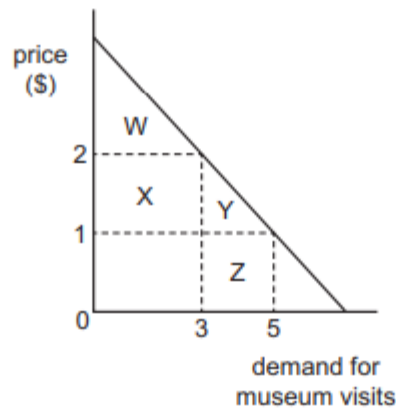
1. What is most likely to cause an increase in the consumer surplus in the market for a normal good?
 - A an increase in consumer incomes
 - B an increase in the number of substitute goods
 - C an increase in the price of a complementary good
 - D an increase in the price of the good
2. What does consumer surplus measure?
 - A the excess profit earned by the producer of a good
 - B the opportunity cost to the consumer of not buying a good
 - C the price the marginal consumer is willing to pay for a good
 - D the consumer's gain from purchasing a good at a price below what they are willing to pay
3. The diagram shows the demand curve for a product.



If the rectangle OLMN is equal in area to the rectangle OPQR, which statement is correct?

- A A rise in price from OR to ON results in the same proportionate fall in quantity demanded.
- B Consumer surplus falls by RSMN if the price rises from OR to ON.
- C The price elasticity of demand is unitary for all changes in price.
- D Total revenue falls by MSQ if the price rises from OR to ON.

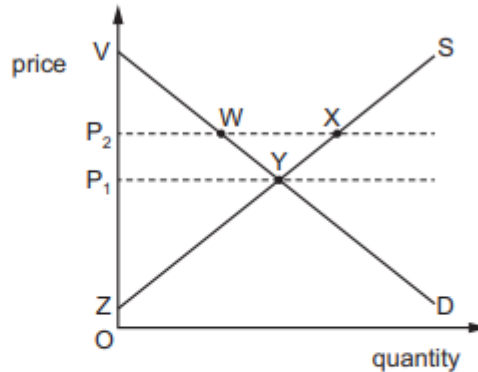
4. A local government decides to issue a card for residents that gives a 50% reduction on entry prices for visits to local museums. The diagram shows the demand curve for a resident who currently makes 3 museum visits.



What would be the change in the resident's consumer surplus when the card is issued?

- A** W **B** X + Y **C** Y **D** Y + Z

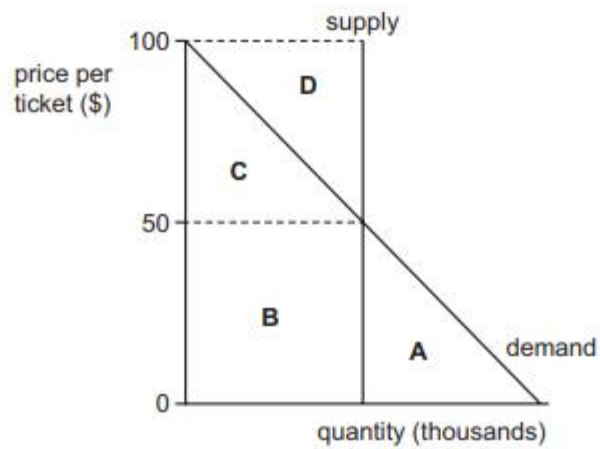
5. The diagram shows the supply and demand curve for bananas.



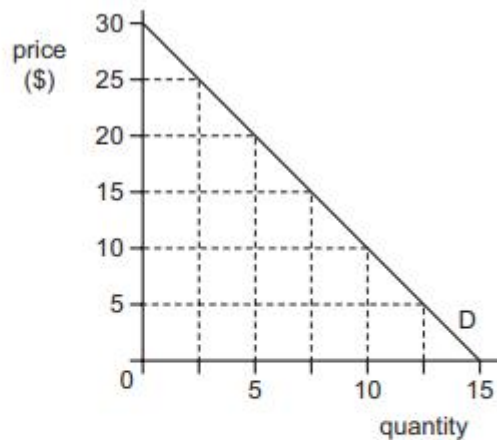
What happens to consumer surplus when the price increases from P_1 to P_2 ?

- A** It decreases by P_2VW .
B It decreases from P_1VY to P_2VW .
C It increases by WXY .
D It increases from P_1YZ to P_2WYZ .

6. The price of a ticket for an international athletics tournament was \$50. All tickets were sold. Which area on the diagram represents consumer surplus?



7. The diagram shows a consumer's demand curve for a product.



How does consumer surplus change as the price of the product rises?

- A It falls at a constant rate (%) with each \$5 rise.
- B It falls by a constant amount with each \$5 rise.
- C It falls by a decreasing amount with each \$5 rise.
- D It falls by an increasing amount with each \$5 rise.

8. The table shows the maximum price a consumer would be willing to pay for successive cans of fruit juice.

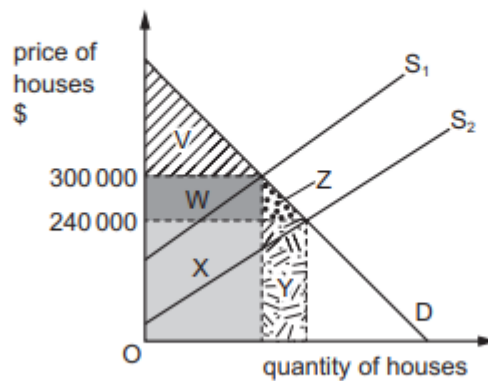
cans	first	second	third	fourth	fifth
price (\$)	14	10	6	4	3

The price of a can of fruit juice is \$4 and, having bought three cans, the consumer decides to buy a fourth.

How does buying the fourth can affect his consumer surplus?

- A It leaves it unchanged.
 B It lowers it by \$2.
 C It raises it by \$4.
 D It raises it by \$34.
9. A government wishes to encourage young adults to buy their first home, by providing a subsidy to the builder.

Which area on the diagram represents the size of the consumer surplus to those who buy a house with such a subsidy?

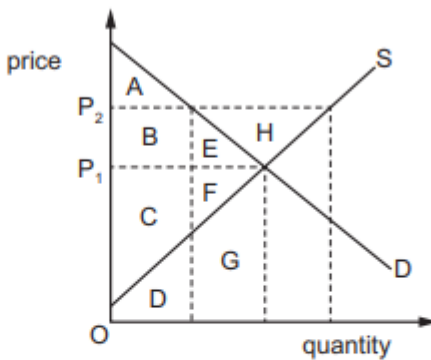


- A $V + W + X$ B $V + W + Z$ C $W + X + Y$ D $X + Y + Z$

10. What is necessary for consumer surplus to be zero?

- A Demand is perfectly elastic.
- B Demand is perfectly inelastic.
- C Supply is perfectly elastic.
- D Supply is perfectly inelastic.

11. The diagram shows supply and demand for a good.



If price increases from P_1 to P_2 , what will happen to consumer surplus?

- A It falls from ABE to A.
- B It falls from CDFG to BCD.
- C It increases from CF to BCEF.
- D It increases from CF to BCEFH.

12. What is meant by *consumer surplus*?

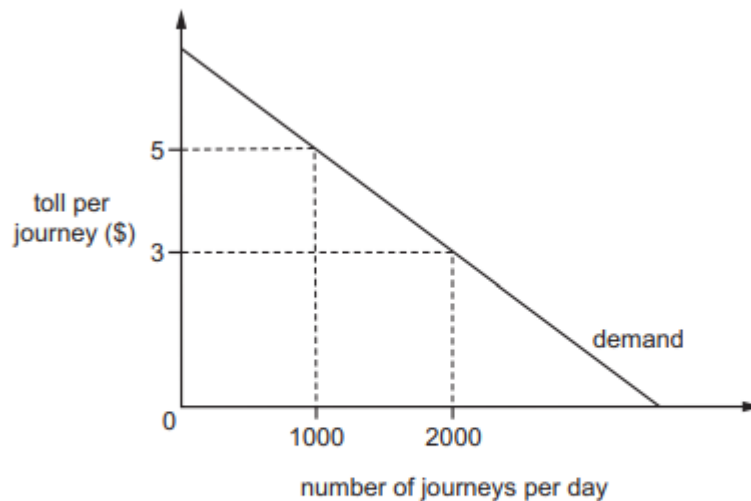
- A It is the amount by which the price consumers are willing to pay exceeds the market price.
- B It is the difference between the price consumers are willing to pay and the price producers are willing to supply.
- C It is the discount firms offer to the consumers for buying goods in bulk.
- D It is the excess of quantity demanded of a product over its quantity supplied at a given price.

13. Consumer surplus exists in the market for rice.

What does this mean?

- A Consumers benefit from rice production more than producers.
- B Consumer demand for rice exceeds supply.
- C Some consumers would be willing to pay more than the market price for rice.
- D The production of rice exceeds the supply.

14. The diagram shows a demand curve for journeys on a toll road.



If there is a reduction in the toll from \$5 to \$3, what is the resulting increase in the daily consumer surplus?

- A \$1000
 - B \$2000
 - C \$3000
 - D \$4000
15. The difference between what consumers pay for a product and what they are prepared to pay is known as
- A a shortage.
 - B consumer surplus.
 - C excess demand.
 - D opportunity cost.

Question	Answer	Marks
1	When the price of a product changes, it usually changes the consumer surplus in the market. Assess how variations in price elasticity of demand for a product determine the extent of changes in consumer surplus in a market. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include AO1 Knowledge and understanding and AO2 Analysis (max 8 marks) • Knowledge and understanding of consumer surplus • Accurate labelled diagram of consumer surplus • Explanation of effects on consumer surplus when the price of a product increases • Explanation of the effects on consumer surplus when the price of a product decreases • Explanation of the change in consumer surplus for a product with a price elastic PED • Explanation of the change in consumer surplus for a product with a price inelastic PED • Comparison of changes in consumer surplus where there are variations in the PED for a product Level 2 max for 1 sided answers i.e. those that analyse the impact of elastic or inelastic PED AO3 Evaluation (max 4 marks) • Change in consumer surplus depends on the relative extent of the price change • Change in consumer surplus also depends on the coefficient of PED • It is assumed that a price change is the only factor that determines a change in consumer demand for a product A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION B

1.	A	10.	A
2.	D	11.	A
3.	A	12.	A
4.	B	13.	C
5.	B	14.	C
6.	C	15.	B
7.	C		
8.	A		
9.	B		